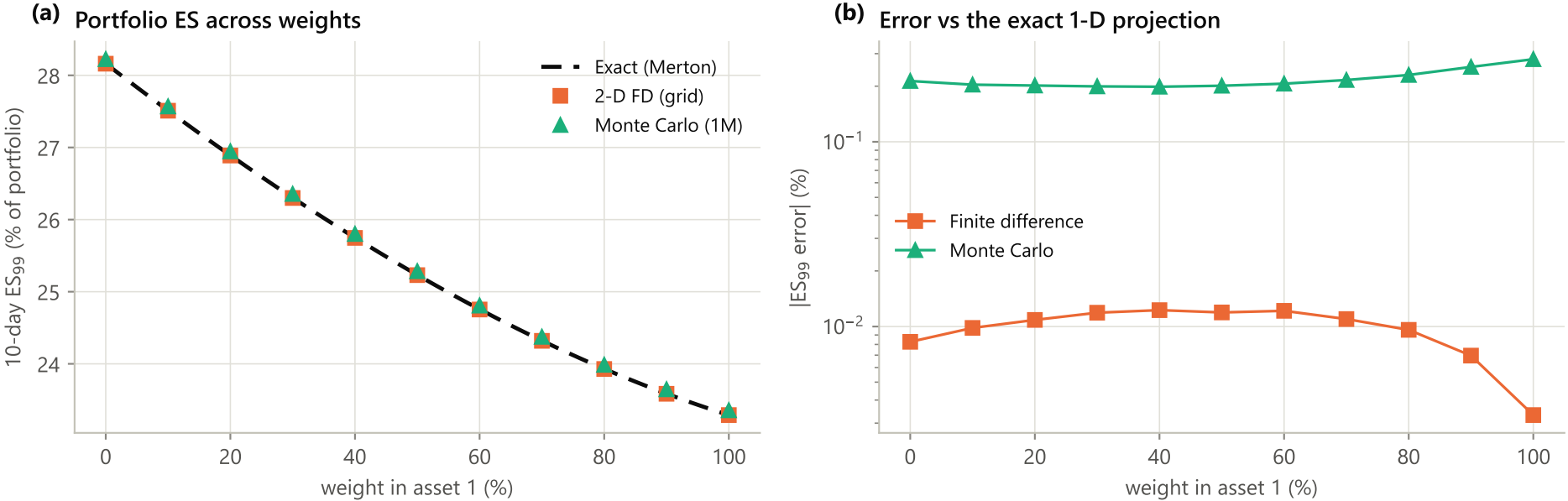
(a)
Portfolio ES across weights
Exact (Merton)
2-D FD (grid)
Monte Carlo (1M)
10-day ES99 (% of portfolio)
28
27
26
25
24
0
20
40
60
80
100
weight in asset 1 (%)
(b)
Error vs the exact 1-D projection
|ES99 error| (%)
10−1
10−2
Finite difference
Monte Carlo
0
20
40
60
80
100
weight in asset 1 (%)